



Policy 8.015 Violations and Sanctions

CFR §246.12 (u) Participant violations and sanctions

I. Policy Statement

DC WIC will implement policies and procedures for the detection of fraud and abuse within the Program, and may disqualify, terminate, and/or assess fines as outlined in this policy.

II. Definitions:

- a. Abuse - An intentional infliction of physical harm and/or to attack with verbal words. This can include, but is not limited to, ridiculing or being demeaning, making derogatory remarks toward or verbally harassing another.

Abuse is also defined as misuse: to use something in an improper, illegal, or harmful way.

- b. Fraud - An intentional misrepresentation of the truth to deceive others for the purpose of acquiring something of value, such as a financial gain or WIC benefits. Anything calculated to deceive, whether it be by a single act or combination, by the suppression of truth, or by a suggestion of what is false, whether it is by a direct lie (deception), silence, omission, a look, or a gesture. An example of fraud could be the selling of an issued food instrument (i.e. eWIC card or Farmers' Market Nutrition Program check) and/or state issued equipment (i.e. breast pump, accessories) for personal gain; an act which intentionally deceives the WIC program and abuses one's benefits.

- c. Intent to Violate - Any intentional action of a participant, parent or caretaker of an infant or child participant that violates Federal or State statutes, regulations, policies, or procedures governing the Program.

- For the purposes of DC WIC, an intentional violation is defined as a participant making a verbal offer to sell to another individual or providing the posting of WIC foods, WIC items or any other issued WIC benefits for sale, given away or traded online, in any type of printed manner (newspapers, etc.), or allowing someone else to conduct this act for them (knowingly or unknowingly), would be evidence that the participant has intentional, whether direct or indirect, committed a participant violation.

- d. Participant Violation - Intentional activities or actions of DC WIC participants or their ARs taken to obtain benefits to which they are not entitled and/or to misuse benefits they receive. Activities and actions include, **but are not limited to**:

- Misrepresenting facts used to determine eligibility (e.g. total household income, age of children, existence of children, custody of children, address, etc.)
- Exchanging/substituting food benefits for non-approved items (e.g., cash, alcohol, or tobacco products, sundries, etc.)
- Selling or giving away foods obtained with WIC issued food benefits



- Selling or attempting to sell (either in person, online, or through any other means available), WIC foods or WIC items (i.e. Breast pump, breast milk storage bags, and/or other accessories) received through the WIC Program.
- Participating at more than one WIC agency simultaneously (dual participation)
- Verbally/physically abusing WIC vendors and/or WIC staff

III. Participant Disqualification for Program Fraud

DC WIC participants shall receive written warning or be disqualified when an investigation and supporting evidence/documentation verifies that participant fraud has occurred.

The State Agency reserves the right to disqualify participants for other actions not listed herein if the participant violates any program policies and/or regulations.

Disqualification Without Warning

Serious substantiated violations of program integrity, such as the sale of WIC food benefits or breast pumps will result in disqualification without any prior warning. Warnings before sanctions are at the sole discretion of the State Agency and are conducted on a case by case basis.

Participants Rights and Responsibilities When Disqualified

Participants have the right to appeal any denial, claim or disqualification at a fair hearing or an informal dispute resolution conference. Participants shall be provided, within a minimum of 15 calendar days, written notice prior to a disqualification. For more information on hearing and informal dispute resolution procedures, see Local Agency Policy and Procedure Manual section 12.

Exception for Disqualification

The State Agency may decide not to impose a mandatory disqualification if, within thirty (30) days of receipt of the notice of repayment, full restitution is made or a repayment schedule is agreed upon. A participant will have the opportunity to provide a personal statement explaining the circumstances surrounding the loss of the pump. All decisions are at the discretion of the State Agency.

Reapplication

A participant may be permitted to reapply for the program before the end of a disqualification period if full repayment is made or a repayment schedule is agreed upon.

IV. Dual Participation within DC WIC

When Local Agencies are faced with factors/situations that include participants traveling routinely between local services located across the State Agency Borders, dual participation must be evaluated and consequences discussed when a participant received benefits from more than one (1) State WIC Agency. Examples of these factors/situations may include the following: lack of geographic barriers and common vendors. If Dual Participation is determined, the sanctions in Section VII, #14 and #15, are to be followed. The State Agency will produce Dual Participation Reports. The purpose of Dual Participation Reports is to detect potential dual participation within DC WIC.



A. State Agency Responsibilities

The State Agency will:

- Coordinate efforts with LAs when potential dual participation has occurred
- Request supporting documentation from LAs to include, but not limited to, signature receipts and signed Rights and Obligations forms
- Conduct an exhaustive investigation to determine if dual participation occurred and will inform LAs of the necessary course of action and/or sanction

B. Local Agency Responsibility

Local Agencies will:

- Request information from applicants about previous participation in other WIC programs
- Appropriately handle potential dual participants when prompted by HANDS
- Notify the State Agency, in writing, of any identified possible dual participation within 15 business days of discovery
- Provide information as requested by the State Agency
- Coordinate with the State Agency to impose appropriate sanction when dual participation has been determined

V. Responsibilities

State Agency	Local Agency
Consult with the Attorney General's Office in cases of alleged fraud and abuse, and if appropriate, the USDA Office of the Inspector General and/or Local Law Enforcement.	Document all allegations of Program abuse or fraud.
Responsible for incoming reports of Program abuse or fraud to the State Agency by email, phone, or www.dcwic.org , and any/all information obtained.	In all cases where Program abuse or fraud is alleged against a participant, the Local Agency shall immediately contact the Nutrition Services team and provide supporting documentation to the State Agency.
Verify information regarding alleged participant abuse and/or fraud, and will retain documentation.	Consult with the State Agency prior to taking any action regarding participant abuse and fraud.
Following a thorough investigation, the State Agency will determine the appropriate participant sanction (if applicable).	If there is a sanction, the Local Agency will advise the participant of the Program requirements they violated (i.e. what they did wrong, and the correct procedure).
Determine the amount of funds improperly received by the participant.	Assist the participant in preparation and submission of their written request for an appeal of a claim and/or a Program disqualification. (See Appendices B and C for appeal procedure forms). Assist the participant with completing a repayment schedule for claims.



When an investigation has verified fraud or abuse, the State Agency will send a certified letter to the participant regarding the sanction and, if appropriate, the amount of repayment requested. A copy of the certified letter will be sent to the Local Agency.	Provide the participant with Program benefits (i.e. food package) as stated below.
Inform the participant of their right to appeal a claim or a Program disqualification.	Provide program benefits to participants who appeal disqualification within fifteen (15) calendar days of the written notification of disqualification until the appeal is decided, the participant becomes categorically ineligible, or the certification periods expires, whichever occurs first.
Provide an informal dispute resolution meeting and/or a fair hearing.	

VI. Claims

If the State Agency determines that Program benefits have been obtained or disposed of improperly as the result of a participant violation, the State Agency will establish a claim against the participant for the full value of the improperly received benefits, in addition to applying any appropriate sanctions per the sanction schedule.

Following an investigation that has confirmed there was a participant violation, the State Agency will:

- Determine the amount of any improperly received benefits.
- Establish a claim against the participant for the full value of the improperly received benefits.
- Send the claim by certified mail to the participant and an electronic copy to the Local Agency

If the participant chooses to appeal the claim, the Local Agency may assist in completing the appeal request.

If the participant chooses a repayment plan for claims, the Local Agency will assist in developing a payment schedule.

If the participant has not paid the State Agency directly within 15 days of the notice, the participant's account will be flagged internally and benefits will be restricted until the claim is paid.

If full payment or a payment schedule has not been established after two (2) letters demanding repayment, the State Agency will not pursue further collection sanctions under \$500.00. If the sanction exceeds \$500, the Office of Inspector and Compliance (OIC) will assist the State Agency in recovering the claim.



VII. Types of Violations and Sanctions

	ABUSE	SANTION
1.	Using Food Benefits to buy unauthorized food equaling \$99 or less	1 st – 90 day disqualification and repayment 2 nd – Disqualification of 1-year and repayment
2.	Using Food Benefits to buy unauthorized food equaling \$100 or more	1-year disqualification and repayment
3.	Exchanging food benefits for credit or non-food items	1 st – 90 day disqualification and repayment 2 nd – Disqualification of 1-year and repayment
4.	Direct or indirect theft of food benefits	1-year disqualification, repayment, referral to the appropriate Law Enforcement Authorities, and possible referral to SNAP authorities
5.	Deliberate misrepresentation of any intake criteria to obtain WIC benefits, including: • Income • Residency • Family size • Health status	Immediate termination, 1-year disqualification, and repayment
6.	Attempting to sell WIC foods, WIC items or any other WIC-issued benefits either verbally, online, in any type of printed manner (newspapers, etc.), or knowingly allowing someone else to conduct this act for them, with or without that person's knowledge of WIC participant fraud, abuse and misuse	1 st – 90-day disqualification and possible referral to SNAP authorities 2 nd – 1-year disqualification and possible referral to SNAP authorities
7.	Selling supplemental food that was purchased with WIC food benefit(s) (to include infant formula) and/or WIC-issued items (i.e., personal or hospital-grade breast pumps).	1-year disqualification, repayment, and possible referral to the appropriate Local Enforcement Authorities, and possible referral to SNAP authorities
8.	Attempting to give away or trade WIC foods, WIC items or any other WIC-issued benefits either verbally, online, in any type of printed manner (newspapers, etc.), or knowingly allowing someone else to conduct this act for them, with or without that person's knowledge of WIC participant fraud, abuse and misuse	1 st - Written Warning 2 nd - 30-day disqualification 3 rd - 90-day disqualification
9.	Giving away or trading supplemental food that was purchased with WIC food benefit(s) (to include infant formula) and/or WIC-issued items (i.e., personal or hospital-grade breast pumps).	1 st - 30-day disqualification 2 nd - 90-day disqualification



10.	Using food benefit(s) at unauthorized stores and/or through any other unauthorized channels.	1 st - 90-day disqualification and repayment and possible referral to SNAP authorities 2 nd - 1-year disqualification and repayment and possible referral to SNAP authorities
11.	Creating a public nuisance, or disrupting normal activities through verbal misconduct at the Local Agency or at any DC WIC-authorized vendor.	1 st - Warning letter 2 nd - 30-day disqualification 3 rd - 1-year disqualification
12.	Threatening harm to Local Agency or Vendor staff.	1-year disqualification and possible referral to the appropriate Law Enforcement Authorities
13.	Physically abusing Local Agency or Vendor staff or property	1-year disqualification and reported to Law Enforcement
14.	Dual participation: using food benefits(s) from two programs/agencies in the same month, includes WIC programs from surrounding states (VA, MD, PA, WV, etc).	Immediate termination from all but one (1) program/agency received, full repayment of the dual benefits to other Programs, and possible referral to SNAP authorities
15.	Dual Participation resulting from intentional misrepresentation.	1-year disqualification from all Programs, repayment of all benefits, and possible referral to SNAP authorities
16.	Assessed a claim for \$100 or more.	1-year disqualification and repayment.
17.	Assessed a 2nd claim or subsequent claim, for any amount	1-year disqualification and repayment.
18.	Trafficking WIC food benefits, WIC benefits, or other WIC-issued items and/or collusion with an authorized vendor.	1-year disqualification and repayment referral to the appropriate Law Enforcement Authorities and possible referral to SNAP authorities

Note: Combined sanctions may be applied when more than one kind of violation, actual or attempted, is involved in an instance of abuse.